

Homework 2 (Part 0) - Real World Article / Chart Challenge

(25 points total)

Article Title	The Math for Buying a Home No Longer Works. These Charts Show You Why.
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1. Why do you think the article was written? What is the central message of the article?
[5 points]

Focus of this question
• This question encourages you to evaluate the arguments, evidence, assumptions, and conclusions about key issues (i.e. think critically about the article) • This question encourages you to develop your own knowledge, comprehension and conceptual understanding and to connect, synthesize, and/or transform your ideas into a new form (i.e. be a creative thinker and contribute your ideas and thoughts)

Write your answer below:

This article was written to show how alarming it is to own a house now. The typical American Dream that everyone is so familiar with historically includes being able to own land/real estate/a house. But as the years go on, more of that is becoming unattainable. For my parents who were born in the 60s they are used to the idea that if you work hard enough, you'll eventually have a good life. With how the world is playing out as I grow up, I am finding that less true. This article displays the statistics and math behind homeownership, and while it doesn't necessarily have a good or bad connotation outright, it does showcase a rather depressing truth that my generation is facing.

The central message of the article is to highlight how becoming a homeowner is not possible for a lot of Americans right now. By highlighting how the Federal Reserve raised rates aggressively to try and curb inflation, and how higher rates means finding a home valued at less to avoid mortgage interest rates, the article explains to us how statistically less young people are buying homes and giving up on the idea of ever owning. The article concludes that fulfilling the "American Dream" for a lot of people is not possible with current

inflation rates, and potentially the state of our economy if we don't see changes in policies soon.

2. Use the four questions (Why? Who? What? How?) we covered in class to describe the context for this article [5 points]

Focus of this question
• This question encourages you to evaluate the arguments, evidence, assumptions, and conclusions about key issues (i.e. think critically about the article) • This question encourages you to develop your own knowledge, comprehension and conceptual understanding and to connect, synthesize, and/or transform your ideas into a new form (i.e. be a creative thinker and contribute your ideas and thoughts)

Write your answer below:

Why? It is already known that the housing market is bad, but many people do not understand why it got this bad, nor why it isn't working out like previous generations. This article aims to demystify that.

Who? The public/WSJ subscribers. Since these people are not experts in economics or finance, generalizing it so that most people reading the article can understand basic concepts as well as grasp the urgency is key.

What? This housing crisis affects everyone in America whether they are aware of it or not. Having more people be aware of the issue will hopefully bring about change to how the housing market is being dealt with.

How? A mix of visualizations to depict trends throughout time will help people understand the crisis at hand and highlight the abnormality of these increasing interest rates and mortgages. This housing data is available through various websites such as the U.S Census Bureau.

3. There are at least three (3) charts in the article. Assume the charts are listed by appearance (i.e. the first chart you see in the article is Chart 1, the second chart you see is Chart 2 etc.). Consider the charts as they are used to explain parts of the article. Select any one (1) chart and describe the following:

- a) What you like about the chart
- b) What you do not like about the chart
- c) How you would improve the chart

[15 points – the answer for each of 3(a), 3(b), 3(c) above is worth 5 points]

Focus of this question
• This question encourages you to connect your learning to “real world” issues or life experiences and consider diverse perspectives for the application of concepts in the paper to the real world • This question encourages you to reflect on what you are learning • This question encourages you to contribute your ideas and thoughts • Consider diverse perspectives (gender, political, ethnic, racial, etc.) • Challenges you to develop and present your own knowledge, comprehension, and conceptual understanding

Write your answer below:

Chart 1:

What I liked: This chart is the first chart that the audience sees when opening the article. It is a well-done visualization, not only because it is surprising, but because of how it is being depicted. The chart has two lines: Average Monthly New Home Payment, and Average Monthly New Lease Payment. The metric for how much the Average New Home Payment is already alarming, but using red to draw this line and contrasting it with a grey line for the Average Monthly Lease Payment puts even more emphasis on how high the Average Monthly New Home Payment is.

What I disliked: I like everything about the chart. I think it is a very good introductory visualization to the article and makes more people read further to get an explanation as to why homeownership is in such a bad economic state.

How would I improve the chart: I wouldn't improve the chart anymore. I think it is a great visual as is.

Chart 3:

What I liked: This chart is a simple horizontal bar chart showing the total cost of a mortgage for a \$400,000 home at different interest rates. I liked this chart because as someone who knows nothing about being a homeowner and what a mortgage is, it basically tells me how with minimal words! The chart really emphasizes how much someone would pay for different interest rates, which can be hard to glean without a clear visualization.

What I disliked: The only thing I disliked about this chart is the color scheme. The salmon pink didn't really add urgency to the chart like the red line in Chart 1 did. This is supposed to be another metric to highlight how bad the interest rates are, and I think utilizing either a muted version of Chart 1's red line or not a salmon-pink would have done more for me.

What I would improve: I would change the salmon-pink to be a muted tone of the red line in Chart 1. I would also mute the grey tone that the loan amounts use because it isn't the focus of the chart, the interest rates are.

Chart 5:

What I liked: This chart was my second favorite in the article. It's a simple stacked line chart showing the difference in age between repeat buyers vs. all buyers vs. first-time buyers. These metrics are also surprising, and the visual just adds more to that which is good!

What I disliked: Again, it was the color scheme of the chart that I disliked the most. I swear most of these charts have okay colors, but this one wasn't really grabbing me with the olive-green and off-brand red again.

What I would improve: I would change the color of "Repeat Buyers" line to something that's a little bolder to emphasize the difference between "Repeat Buyers" and "First-Time Buyers". Because these are the two lines of focus in the chart, there should be more emphasis on them.